7-3b Strategies for Nonfinancial Companies

How do nonfinancial companies cope with the fluctuations of the foreign exchange market—broadly known as

currency risks (The potential for loss associated with fluctuations in the foreign exchange market.)

? There are three primary strategies:

(1) invoicing in their own currencies,

(2) currency hedging (as discussed earlier), and

(3) strategic hedging.

The most basic way is to invoice customers in your own currency. By invoicing in dollars, many US firms have enjoyed such protection from unfavorable foreign exchange movements.

Currency hedging is risky in case of wrong bets of currency movements. For example, most airlines in the world engage in currency hedging to manage fuel cost fluctuations, and most suffered losses in 2009. In 2008, oil price was at a record high, US$147 per barrel. Some airlines entered 180-day forward transactions with foreign exchange traders, say, at US$100 per barrel. This looked like a fantastic deal, representing 32% savings. However, by 2009, oil was only trading at US$41 per barrel. But some airlines were bound by the contract to purchase oil at US$100 per barrel, they were thus paying 144% (!) higher than the market.

Strategic hedging (Spreading out activities in a number of countries in different currency zones to offset any currency losses in one region through gains in other regions.)

means spreading out activities in different currency zones in order to offset the currency losses in certain regions through gains in other regions. Therefore, strategic hedging can be considered as currency diversification. It reduces exposure to unfavorable foreign exchange movements (see the Opening Case). Strategic hedging is conceptually different from currency hedging. Currency hedging focuses on using forward contracts and swaps to contain currency risks, a financial management activity that can be performed by in-house financial specialists or outside experts (such as currency traders) (see the Closing Case). Strategic hedging refers to geographically dispersing operations—through sourcing or FDI—in multiple currency zones. By definition, this is more strategic, involving managers from many functional areas (such as production, marketing, and sourcing) in addition to those from finance.

Overall, the importance of foreign exchange management cannot be over-stressed for firms of all stripes interested in doing business abroad. Firms whose performance is otherwise stellar can be devastated by unfavorable currency movements. For instance, the Australian wine makers had a hard time competing with cheap imports (see In Focus 7.1). On the other hand, thanks to crises in countries such as Greece, Ireland, Portugal, and Spain, the euro depreciated sharply against the dollar and the Swiss franc during the same period. While euro zone exporters such as Daimler-Benz (maker of Mercedes cars) and EADS (manufacturer of Airbus jets) could not be happier, Swiss exporters struggled.

From a resource-based view, it seems imperative that firms develop resources and capabilities that can combat currency risks, in addition to striving for excellence in, for example, operations and marketing.   Developing such expertise is no small accomplishment because, as noted earlier, prediction of currency movements remains an art or a highly imprecise science. Precisely because of such challenges, firms able to profit from (or at least avoid being crushed by) unfavorable currency movements will possess some valuable, rare, and hard-to-imitate capabilities that are the envy of rivals.